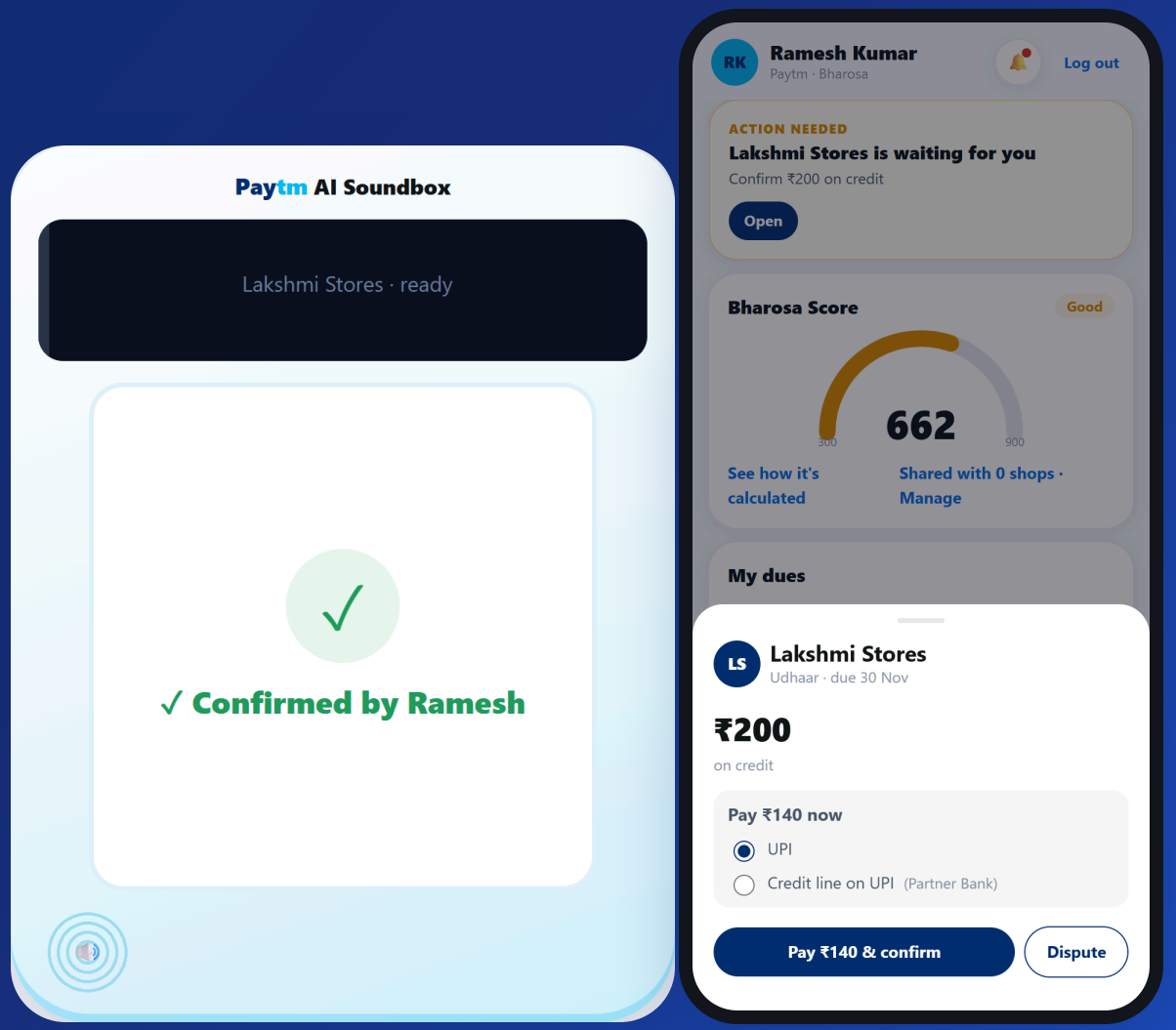
Bharosa on Paytm

Trust, turned into growth.

A trust layer for udhaar, built on the Soundbox the merchant already has and the Paytm app the customer already uses.

Team MerchantMavericks · Sujay Mohanty · Sukruth N · Rishi Sharma
Paytm Build for India AI Hackathon, Bengaluru · Track 1: Merchant Growth AI



THE OPPORTUNITY

Every kirana in India is secretly a lender.

Udhaar is how a neighbourhood shop wins and keeps customers, and its best weapon against quick commerce. Paytm is already on the counter.

4.5 cr
merchants accept payments with Paytm

1.57 cr
have a Paytm device like the Soundbox on the counter

Daily
credit decisions at every kirana, made on gut feel, with no tools

A huge share of those merchants are kiranas, and every one of them gives credit.

THE PROBLEM

The shop lends blind, so it rations credit out of fear.

A customer takes ₹340 of goods and pays "later". The shop has just made an unsecured, interest-free loan, with none of a lender's tools.

No risk check

Decided by gut feel, at a busy counter, in seconds.

No proof

A one-sided notebook. The customer never agreed to it.

No collection

Chasing a neighbour is awkward, so it doesn't happen.

No funding

Every rupee lent comes out of stock money.

Refuses new customers

"I don't know you" means no credit, and no sale.

Caps good customers

Reliable regulars are rationed with everyone else.

Can't stock up

Cash stuck in udhaar means a thin shelf at Diwali.

Every "no" is a lost sale.

THE INSIGHT

The problem isn't the notebook. Trust is invisible.

Khata apps already digitised the record. What's missing is trust that anyone else can verify: a **two-way ledger**, where every credit entry is confirmed by the customer on their own phone.

Today: a khata app

The shopkeeper writes "Ramesh ₹200". A one-sided claim: possibly wrong, inflated or disputed. **Useless to anyone else.**

→

Bharosa: a verified receivable

Ramesh confirms ₹200 in his own Paytm app. Both sides see the same record, with a UPI repayment trail. **Now it can be used.**

Safe limits

How much credit is safe, for whom, right now

New customers

Trust that travels between Paytm shops, with consent

Funding

Verified udhaar backs a Stock Advance for the shop

Why Paytm: Soundbox on the counter · Paytm app in the customer's hand · UPI and UPI AutoPay · Lending partners **Only Paytm has all four.**

THE SOLUTION

Bharosa: sell more, get paid, stock up.

Three merchant benefits on one trust layer, pulled together by a weekly growth plan.

1 · Sell more, safely

- ✓ **Udhaar Guardrail:** a safe limit in under a second, with reasons
- ✓ **Override:** the shopkeeper always decides
- ✓ **Portable Trust:** new customers bring their Bharosa Score

2 · Get paid without chasing

- ✓ **Scan-to-Confirm:** the customer verifies every entry
- ✓ **Smart nudges:** reminders that understand the reply
- ✓ **Salary-week auto-pay:** UPI AutoPay, the compliant way

3 · Stock up without cash

- ✓ **Festive plan:** Diwali demand from last year's sales
- ✓ **Stock Advance:** the lender pays the distributor directly
- ✓ **Self-repaying:** from 20% of customer repayments

Weekly growth plan

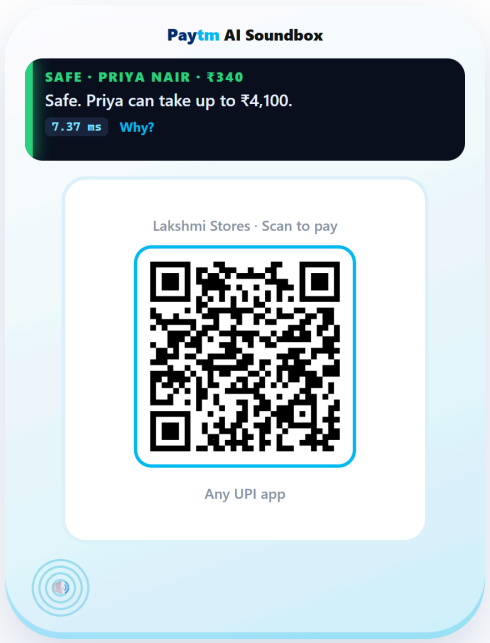
The top three actions for the shop, ranked by rupee impact. One tap to approve each.

Trust layer

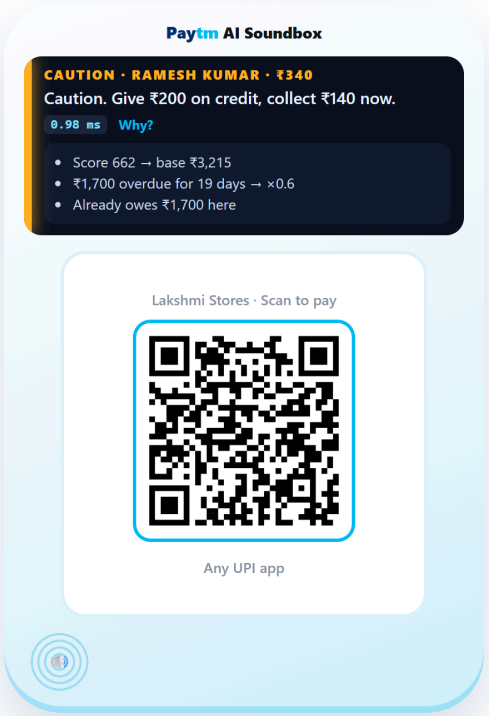
Verified receivables · Bharosa Score · consent · exposure caps · fraud checks

A safe limit in under a second, for every customer.

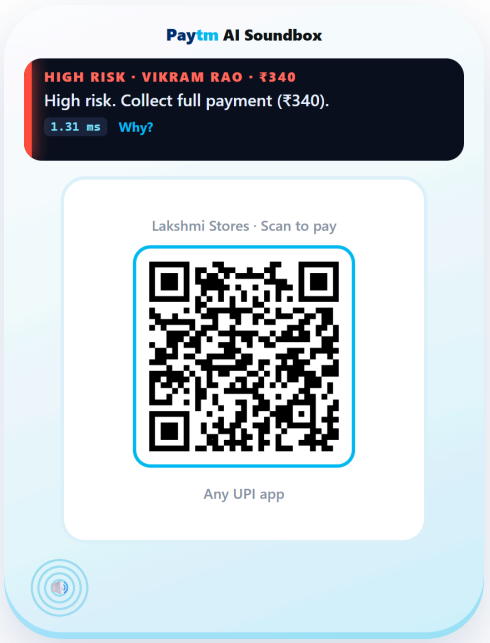
The shopkeeper says "Ramesh 340". Bharosa checks the customer's repayment history and suggests a limit: green, amber or red, always with the reasons.



Priya · score 780 · Strong
Green: go ahead, limit ₹4,100



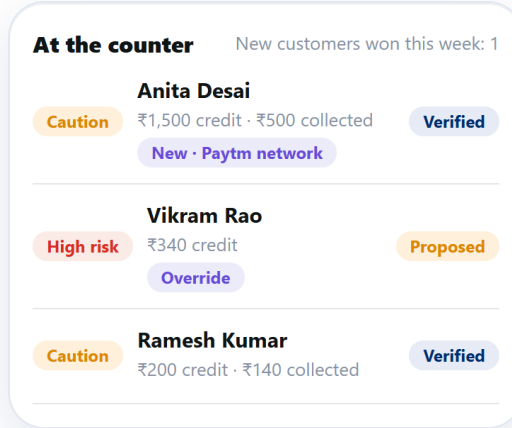
Ramesh · score 662 · Good
Amber: ₹200 credit + ₹140 now · 19 days overdue



Vikram · score 438 · Building
Red: collect payment first

The shopkeeper decides

Bharosa suggests; it never blocks. If the shopkeeper knows Vikram, one tap on **Override** gives the credit, and the override is recorded.

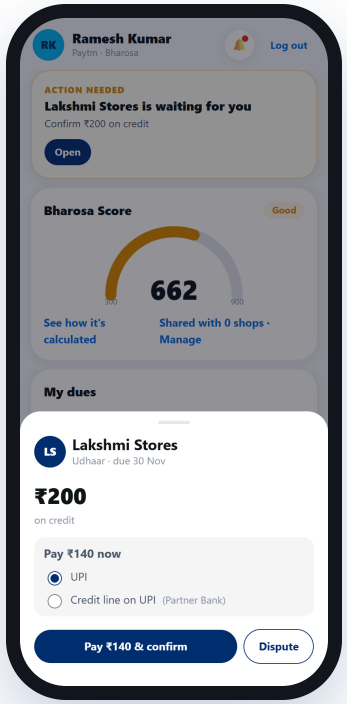


The customer confirms the credit on their own phone.

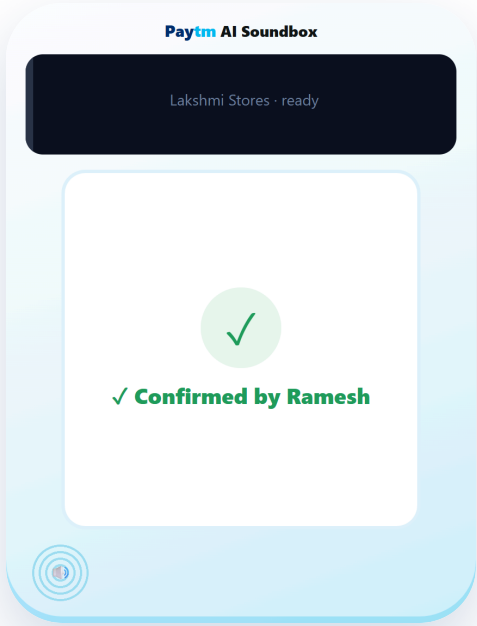
One scan turns a notebook line into a verified debt. It works with any Paytm Soundbox, even the printed QR, and the counter updates in about a second.



1 · A one-time QR for Ramesh
₹200 on credit, ₹140 to pay now



2 · Ramesh confirms in his app
Only his logged-in account can open it



3 · Verified on both sides
Shop ledger and customer app agree

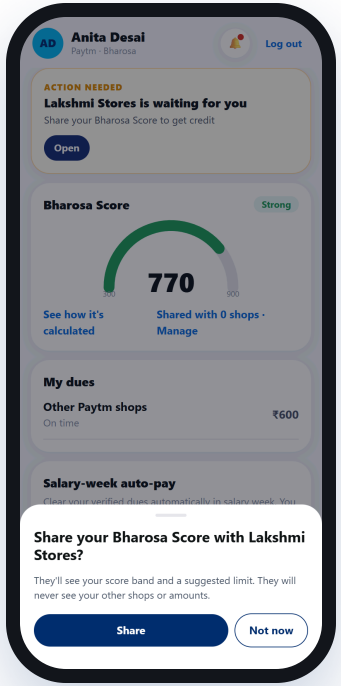
Why customers do it

Confirmed credit, repaid on time, raises their Bharosa Score and their limits at every Paytm shop.

PORTABLE TRUST · NEW CUSTOMERS

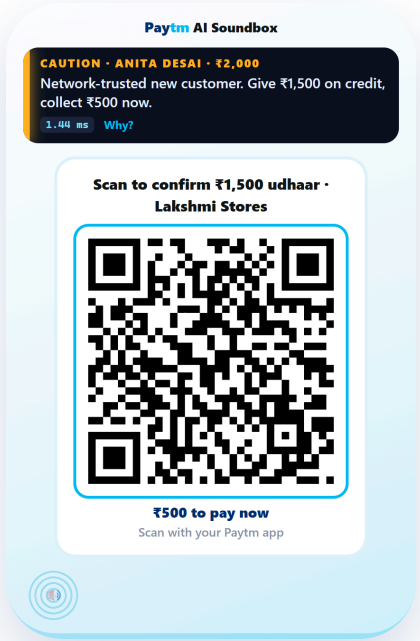
A shop can safely give credit to someone it has never met.

Anita is new to Lakshmi Stores, so she'd only get a ₹500 starter limit. She chooses to share the Bharosa Score she built at other Paytm shops.



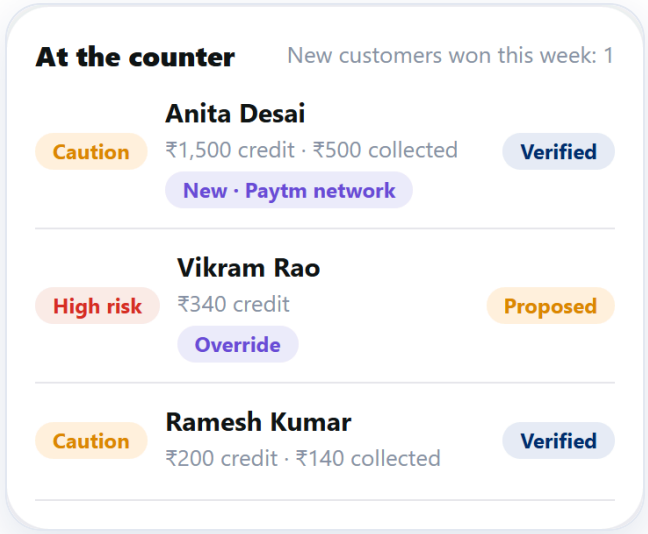
1 · Anita taps Share

Her choice; she can revoke it



2 · ₹1,500 credit + ₹500 now

Score 770 · 40% of the network limit



3 · "New · Paytm network"

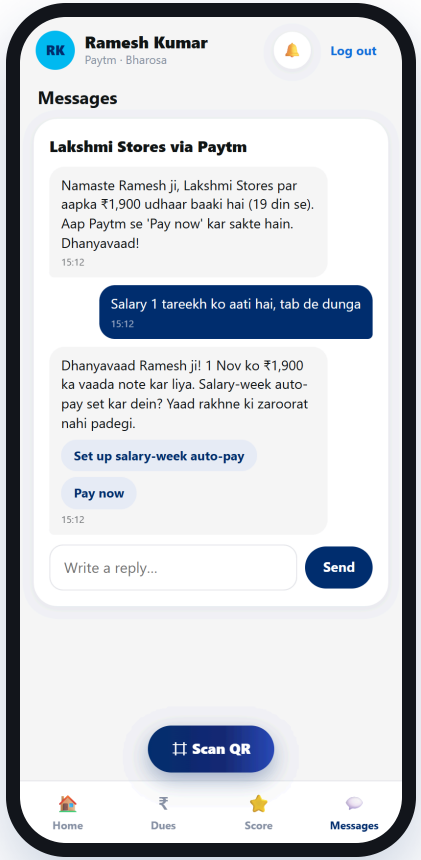
A new customer won

Privacy by design

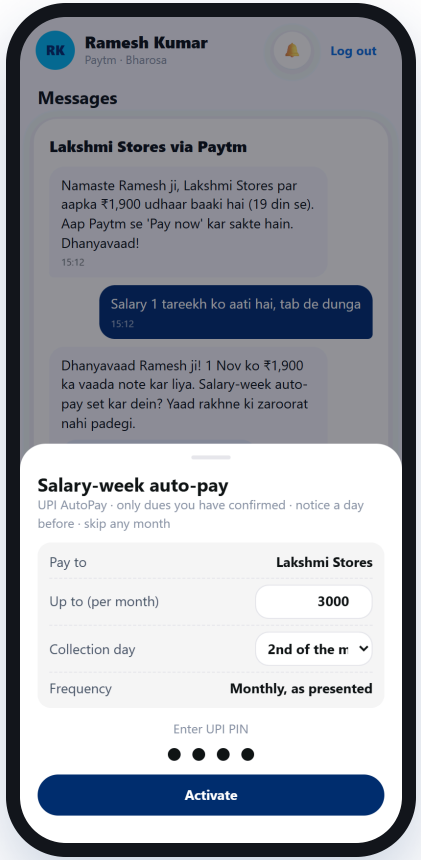
- ✓ Only with the customer's consent
- ✓ The shop sees a band and a limit, never other shops or amounts
- ✓ An exposure cap across all shops

GET PAID WITHOUT CHASING

Polite nudges that understand the reply, and pay on salary day.



The reminder, his reply, and the promise



Salary-week auto-pay in one tap

1 A reminder in his language

The shopkeeper approves; Bharosa sends it. No awkward chasing.

2 His reply is understood

"Salary 1 tareekh ko aati hai, tab de dunga" becomes a promise: **₹1,900 on 1 Nov**, tracked for the shop.

3 UPI AutoPay, the compliant way

He picks a collection date in salary week and a cap, gets a notice the day before, and can skip a month.

STOCK UP WITHOUT CASH · STOCK ADVANCE

Diwali stock, funded by the trust the shop has built.

Stock

Order · Sharma Traders · due Fri 6 Nov ₹18,000

₹9,200 short

Stock Advance offer

Partner NBFC pays Sharma Traders	₹9,200
Fee	₹138
Repaid from	20% of repayments
Backstop	30 Nov

Accept | Decline

Stock

Partner NBFC paid Sharma Traders ₹9,200 ✓

₹0 / ₹9,338 20% of repayments · backstop 30 Nov

1.6×
Last year's Diwali week vs a normal week

₹27,400
expected extra sales from a ₹18,000 order

₹9,200
short on the bill, so a Stock Advance (fee ₹138)

20%
of customer repayments repay the lender automatically

The partner lender pays the distributor directly, so the money can only become stock. It is sized at most 40% of verified udhaar from reliable customers. The shop's verified udhaar is what makes the lender say yes.

Trust becomes working capital.

HOW IT WORKS · WHERE AI FITS

AI where the world is messy. Code where money moves.

Soundbox · voice, displays, QR | **Paytm for Business · the merchant** | **Paytm app · the customer**

AI layer: 4 agents
proposes, never decides

- Speech (Kannada, Hindi, English)
- Counter Agent: "Ramesh ne 340 liya"
- Recovery Agent: reminders, replies
- Growth Agent (Munim): explains the plan

Validation firewall
every AI output is checked

- strict formats
- customer must exist
- every ₹ must match the ledger
- else a simple rule takes over

Trust core
deterministic, explainable

- two-way ledger
- Bharosa Score
- safe limits + exposure cap
- consent
- QR request bridge

Money & growth
exact maths

- payments
- 20% lender split
- AutoPay schedule
- festive plan
- Stock Advance
- fraud checks

Rails
Paytm's existing pipes

- UPI
- UPI AutoPay
- credit line on UPI
- lending partners
- distributor payments

> **The AI suggests; people decide; code moves the money. AI never sets a score, decides a limit or moves money.**

WHO BENEFITS

A win for the merchant, the customer and Paytm.

The merchant

- ✓ **More customers:** safely serve people never met before
- ✓ **Bigger, repeat sales:** clear safe limits for every regular
- ✓ **Fewer losses:** stops over-extending to overdue customers
- ✓ **Money back faster:** confirmed debts, nudges, salary-week auto-pay
- ✓ **Festive growth:** Diwali stock planned and funded
- ✓ **No awkwardness:** Bharosa reminds, not the shopkeeper

The customer

- ✓ **Credit at more shops:** the Bharosa Score travels, with consent
- ✓ **A credit identity** built from everyday shopping
- ✓ **Transparency:** sees every entry and how the score is calculated
- ✓ **Pay on salary day:** AutoPay with notice, and skip a month
- ✓ **Privacy:** shops see a band and a limit, never other shops
- ✓ **Fair disputes:** a wrong entry can be disputed in the app

Paytm

- ✓ **Soundbox engagement:** daily use beyond payment alerts
- ✓ **Lending distribution:** Stock Advances and better-timed loans
- ✓ **New consumers in the Paytm app** to confirm and build a score
- ✓ **More UPI and AutoPay volume** from repayments and mandates
- ✓ **A network moat:** Portable Trust grows with every merchant
- ✓ **No balance-sheet risk:** regulated partners carry credit risk

BUSINESS MODEL AND MOAT

Revenue on Paytm's existing rails, with no credit risk.

Lending distribution

Fees on Stock Advances and better-timed merchant loans, backed by verified receivables.

Credit line on UPI

Bank fees for credit-line customers acquired at the counter, when the bill is above the shop's limit.

Payments volume

Repayments, sales and AutoPay mandates all flow through Paytm UPI.

Premium tier

Optional advanced plans and insights for growing merchants.

Why only Paytm can do this

It needs the device on the counter, the app in the customer's hand, the payment rail and the lenders, at once. Paytm already has all four, and the merchant network that makes Portable Trust valuable.

Who carries which risk

The shop keeps its udhaar risk as today, but capped and informed. Advances and above-limit credit sit with regulated partners. Paytm takes **no balance-sheet risk**.

WHAT WE BUILT

A working product, not a mock-up.

Every screen and number in this deck comes from the running prototype.

Five connected apps

AI Soundbox simulator, merchant app, phone-first customer app with a QR scanner, presenter screen and pitch pages, all live-updating in about a second.

The real trust core

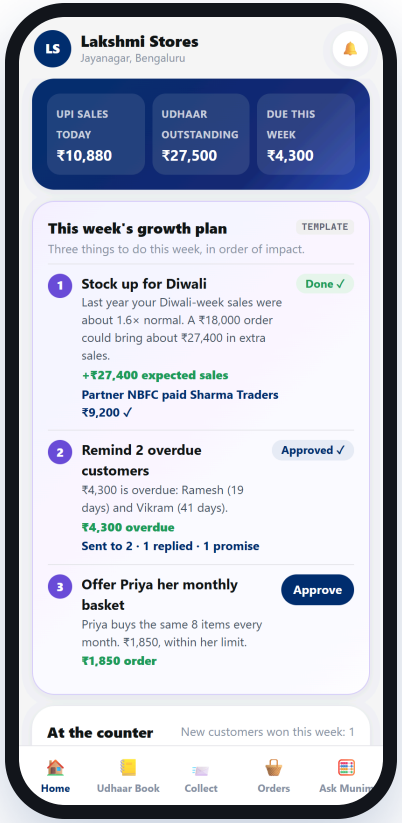
Two-way ledger with entry states, Bharosa Score, safe limits with exposure caps, Portable Trust with consent, the QR request bridge, shared-device check.

Money and growth

Sales vs repayments, oldest-debt-first allocation, 20% lender split, Stock Advance sizing, AutoPay schedules, Diwali plan, monthly basket.

AI, safely

Four Sarvam-powered agents behind validators and an on/off switch. With AI off, everything still works on rules. 52 automated tests.



The merchant's home, after the demo

RISKS, DESIGNED OUT

The questions we expect, answered by design.

Isn't this a khata app?

Khata apps record. Bharosa checks risk before credit, gets the customer's confirmation, wins new customers, collects and funds stock.

Is AI deciding credit?

No. A transparent formula suggests; the shopkeeper decides. AI only handles language, and every output is checked by code.

Isn't sharing scores regulated?

Likely. So sharing is consent-based and revocable, disclosure is minimal, and production scoring runs through a licensed partner.

Who takes the loss on a default?

The shop, as today, but with far better information and a capped limit. Paytm carries no credit risk.

Can shops fake receivables?

Shared devices, instant confirmations, round amounts and circular money are flagged and kept out of advance eligibility.

Does it need new hardware?

No. Any Paytm Soundbox and the printed QR work; the AI Soundbox adds voice and screens.

Bharosa on Paytm

Make trust verifiable, and credit becomes a growth engine.

AI handles the language. Code handles the money. Paytm already has every piece.

Sell more, safely
Guardrail · Override · Portable Trust

Get paid without chasing
Scan-to-Confirm · nudges · auto-pay

Stock up without cash
Festive plan · Stock Advance

Bharosa: trust, turned into growth.

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